

Question #1 of 39

Question ID: 1586458

Which of the following statements regarding Standard II(A), Material, Nonpublic Information, is *least* accurate?

- A) If you receive the information in a public forum, it has been disseminated, and you can trade on it.
 - B) Material, non-public information regarding a tender offer may not be traded on.
 - C) Information received from an insider who is not breaching his fiduciary responsibility may be traded on.
-

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Question ID: 1586460

Carl Weather, CFA, is the chief financial officer of Talbot Enterprises. Based on inside information about Talbot's favorable prospects, Weather concludes that Talbot's common stock price is substantially undervalued in the market. With the approval of Talbot's Board of Directors, Weather announces a program for his firm to repurchase \$100 million of its own stock in the market. Talbot's stock price rises immediately after the announcement of the repurchase program.

Reese Winter, a CFA Institute member, is Weather's assistant. While waiting in Weather's office, Winter reads an internal memo marked "confidential" from Talbot's chief accountant to Weather. The memo states that Talbot sustained an unexpected substantial profit during the past quarter, and its earnings projections show a substantial increase compared with previous estimates. Winter uses her cell phone to call her brother and discloses this information to him. Her brother immediately buys 1000 shares of Talbot's stock.

Did the actions of Weather and Winter violate Standard II(A): Material Nonpublic Information?

- | | <u>Weather</u> | <u>Winter</u> |
|--------|----------------|---------------|
| A) Yes | | Yes |
| B) No | | Yes |
| C) Yes | | No |

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Question ID: 1586444

Greg Allen is a security analyst and visits David Dawson, the Chief Financial Officer of Edmonds Company. Dawson reveals a great deal of nonmaterial financial data to Allen, data that Dawson routinely reveals to all security analysts who visit him. From this data and other industry information, Allen conjectures that Edmonds is likely to make a tender offer for another company in the industry, a fact that if true would be considered material to the value of the company. Allen:

- A)** can publish his conclusion in a research report.
 - B)** should send a copy of the report to Dawson for verification before disseminating the report to clients.
 - C)** must not disseminate the information or use it for trading purposes until the tender offer is announced.
-

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Question ID: 1586455

Chuck Thomas is the trustee of a trust of which Jill Wyatt is the main beneficiary. Wyatt's husband is the president of a company. In emptying the recycling bin at home, Wyatt finds some papers that lead her to believe that her husband's company will make a tender offer to acquire another firm. Wyatt takes the information to Thomas, who uses it to purchase shares of the company for the trust, but does not further disclose the information. Thomas has:

- A)** not violated any Standards.
 - B)** violated the Standards concerning material nonpublic information.
 - C)** violated the Standards concerning loyalty, prudence, and care.
-

Hunter Harrison, CFA, is president and chief investment officer (CIO) of Ironclad Investments, an investment adviser and pension consultant for medium and large corporate pension clients. Ironclad recently hired a compliance officer to update its compliance manual, which follows the CFA Institute Code and Standards. Harrison serves as a director on several non-profit and corporate boards of directors, some of which have their pension assets managed by Ironclad. Harrison oversees Ironclad's research analysts and portfolio

managers, including Michelle Myers, who passed Level II of the CFA examination last year and plans to sign up for next year's Level III exam as soon as registration opens. Myers is a portfolio manager who regularly meets with clients and prospects. Myers is also a partner in a software company that sells retirement and benefit administration services to institutional clients, some of which are also clients of Ironclad. During her correspondence with prospects and clients, Myers includes reference to her status as a "Level III CFA candidate" in her biographical background to increase her prominence in the industry.

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Question ID: 1586470

Regarding Myers' references of her status as a candidate in the CFA program, what Standard governs these actions and is she in compliance?

- A) Standard VII:** Responsibilities as a CFA Member or CFA Candidate. **Compliance:** No.
 - B) Standard I:** Professionalism. **Compliance:** No.
 - C) Standard III:** Duties to Clients. **Compliance:** No.
-

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Question ID: 1586471

All of the following *most likely* apply to Myers' participation as a partner in the software company EXCEPT:

- A) Standard VI(B)** - Priority of Transactions.
 - B) Standard VI(A)** - Disclosure of Conflicts.
 - C) Standard III(E)** - Preservation of Confidentiality.
-

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Question ID: 1586472

As part of Ironclad's portfolio management activities on behalf of clients, Harrison and Myers maintain relationships with third party soft dollar providers and commission recapture brokers.

- Better Trading Brokerage ("Better Trading"), one of Ironclad's top ten brokers and soft dollar providers, has offered Harrison two round-trip airline tickets anywhere in the U.S. in appreciation for their two-year relationship with Ironclad.
- One of Harrison's clients, Worldwind Travel ("Worldwind"), who participates in commission recapture, has offered Harrison two round-trip airline tickets anywhere in the U.S. or Europe in appreciation for their two-year relationship with Ironclad.

Which of the following *best* describes Harrison's actions under the Code and Standards?
Harrison:

- A)** cannot accept the offer from either Better Trading or Worldwind.
 - B)** can accept the offer from Worldwind, but cannot accept the offer from Better Trading.
 - C)** can accept the offer from both Better Trading and Worldwind.
-

Myers has disclosed her partnership interest in the software company to Harrison, including the potential for additional compensation and the possible conflicts of interest.

- One of Myers' software clients, Breakthrough Pharmaceuticals ("Breakthrough"), is a publicly-traded corporation that is also held in portfolios of Ironclad's clients. In the course of their business relationship, Breakthrough's chief executive officer (CEO) informs Myers that the company has been experiencing problems making retirement benefit payments, and its pension plan has recently gone from "overfunded" to "significantly underfunded" as a result of market conditions.
- Breakthrough's CEO indicates to Myers that he is attempting to source additional short-term financing to make retiree benefit payments and will disclose the significant "underfunded status" of the pension plan in the upcoming financial statements.
- Myers, concerned about Ironclad clients holding stock of Breakthrough given the impact on earnings from the current pension troubles and short-term liquidity issues, informs Harrison of the impending disclosure.
- Ironclad sells 1,800,000 shares of Breakthrough for clients, causing the price to drop \$4 per share.
- Upon disclosure of the pension troubles, Breakthrough's stock dropped 18%.

According to Standard II—Integrity of Capital Markets, Myers has:

- A)** not violated the Standard by sharing information with Harrison because the information did not involve a tender offer.
- B)** violated the Standard.
- C)** not violated the Standard since the information shared with Harrison was used to fulfill Ironclad's fiduciary duty to avoid significant losses.

Ironclad owns shares in several research and technology companies, including approximately 4% of the outstanding shares of Advanced DSL ("Advanced"), Internet Connections ("Internet"), and approximately 6% of the outstanding shares of Speedy Chip Technology ("Speedy Chip") and Wavelength Digital ("Wavelength").

- Harrison serves on the board of directors for Internet and Wavelength, while Myers provides consulting services for Speedy Chip. Harrison receives cash compensation and stock options for his services, while Myers receives restricted stock and stock options.
- The investment bank that led the public offering of Internet and Speedy Chip and seven of nine sell-side analysts covering the companies have "sell" ratings on the stocks. Ironclad's analysts have also issued "sell" recommendations on the companies due to lack of earnings transparency and quality of earnings, among other issues.
- Harrison increases his position in both Internet and Wavelength citing "growth opportunities" and "consensus opinion."

Which of the following Standards were *least likely* violated by Harrison and Myers?

- A)** Standard III(A)—Loyalty, Prudence, and Care.
 - B)** Standard IV(B)—Additional Compensation Arrangements.
 - C)** Standard II(A)—Material Nonpublic Information.
-

Harrison, as CIO, is chairman of Ironclad's proxy voting committee, while Myers is a voting member. Ironclad, as a discretionary investment manager, votes proxies on behalf of clients.

- Ironclad is currently reviewing proxies for several companies covered in research, including technology companies Advanced DSL ("Advanced"), Internet Connections ("Internet"), Speedy Chip Technology ("Speedy Chip") and Wavelength Digital ("Wavelength"), which have all presented the expensing of employee stock options for vote in their current proxies.
- Investment personnel of Ironclad recently participated in an industry forum in support of increased disclosure for company stock options, which Ironclad believes provides investors with a more accurate perspective of corporate earnings.
- Contrary to committee consensus, Harrison and Myers vote client proxies "against" the expensing of employee stock options for Internet, Wavelength and Speedy Chip.

All of the following describe Harrison's actions for compliance with the Code and Standards regarding proxy voting EXCEPT:

- A)** Harrison should discard all proxies on behalf of Ironclad's clients when there is a conflict of interest.
 - B)** Harrison should maintain the confidentiality of voting information on behalf of Ironclad's clients.
 - C)** Harrison should vote in accordance with Ironclad's policy and coordinate major proxy issues across all client accounts.
-

Klaus Gerber, CFA, is a regular contributor to the website WizeGuy. This past week Gerber has been incorrectly quoted as recommending that investors buy shares in Bradford, Inc. He is unaware that this message has been placed on the site as the quote was placed as a prank by an unknown source. This is the third time this has happened over the past month and each time the stock being mentioned moved in price according to the buy or sell recommendation.

Fritz Fox, CFA, maintains and updates the WizeGuy site and has learned how to determine if the quotes being attributed to Gerber are actually valid. Several days later, he observes an investment recommendation, posted on the site, to buy Gresham, Inc. The investment recommendation is purported to be from Gerber, but Fox actually knows it to be bogus. He immediately sells 1,000 Gresham short and e-mails Gerber to inform him of the bogus recommendation. Gerber immediately issues a rebuttal, and Gresham falls by 14%. Fox's action is:

- A)** not in violation of the Code and Standards.
 - B)** a violation of the Standard concerning use of material nonpublic information.
 - C)** a violation of the Standard concerning fiduciary duties.
-

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Question ID: 1586466

A stockbroker who is a CFA Institute member is called on the telephone by the CEO of a large company. The CEO asks to buy shares of the CEO's company for the accounts of the CEO's children. In the course of the conversation, the CEO says this will really pay off when the upcoming takeover goes through. The stockbroker checks her sources and finds no information about the takeover. In this case the broker should:

- A)** do neither of the actions listed here.
 - B)** only execute the order in compliance with Standard III(A), Loyalty, Prudence, and Care. Since the client is buying the stock for the children, there is not a problem.
 - C)** execute the order for all clients as required by Standard III(B), Fair Dealing.
-

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Question ID: 1586454

Betsy Fox is an investment advisor who has a client, Don Gordon, who is an employment lawyer. At lunch, Fox noticed Gordon and the Chief Financial Officer of Blue Star Company at the next table. She overhears them talking and ascertains that Blue Star is about to announce higher than expected earnings. Before the earnings release, Gordon contacts Fox and asks her to purchase 3,000 shares for his portfolio. Fox:

- A)** must refuse to purchase shares for Gordon.
 - B)** can purchase shares for Gordon, but cannot ever purchase shares for her personal account.
 - C)** can only purchase shares for her personal account after informing all of her clients about the potential of the increase in earnings.
-

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Question ID: 1586462

Don Benjamin, CFA, is the compliance officer for a large brokerage firm. He wants to prevent the communication of material nonpublic information and other sensitive information from his firm's investment banking and corporate finance departments to its sales and research departments. The most common and widespread approach that Benjamin can use to prevent insider trading by employees is the:

- A)** legal list.
 - B)** fire wall.
 - C)** Wall Street Rule.
-

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Question ID: 1586452

Jim Kent is an individual investment advisor in San Francisco with 300 clients. Kent uses open-ended mutual funds to implement his investment policy. For most of his clients, Kent has used the Baker fund, a small company growth fund based in Boston, for a portion of their portfolio. As a result he has become very friendly with Keith Dunston, the manager of the fund, whom Kent feels is mainly responsible for Baker's performance. One day Dunston calls Kent and tells him that he will be leaving the fund in four weeks and moving to San Francisco to work for a different money management company. Dunston is seeking suggestions on housing in the area. Baker has not yet announced Dunston's departure. Kent immediately finds a fund that is a suitable replacement for the Baker fund, and over the next two days he calls his 30 clients with the largest dollar investments in the funds and tells them he feels they should switch their holdings. Baker feels the remaining clients' positions are small enough to wait for their annual review to switch funds. Kent has:

- A) violated the Standards by not dealing fairly with clients but has not violated the Standards regarding material nonpublic information.
 - B) violated the Standards by not dealing fairly with clients and regarding material nonpublic information.
 - C) violated the Standards regarding nonpublic information but has not violated the Standards in failing to deal fairly with clients.
-

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Question ID: 1586467

The *mosaic theory* is the idea that an analyst can:

- A) base his recommendations on nonpublic material information only for the clients of the company, but not for the general public.
 - B) make recommendations or trade based on several pieces of public or nonpublic information, each piece by itself being nonmaterial, but when compiled the information becomes material.
 - C) make investment recommendations on the basis of several pieces of nonpublic information as long as the aggregate information remains nonmaterial.
-

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Question ID: 1586461

The term "material" in the phrase "material nonpublic information" refers to information that is likely to affect significantly the market price of the issuing company's securities or that:

- A)** is likely to be considered important by reasonable investors in determining whether to trade a particular security.
 - B)** is acquired by the financial analyst from a special or confidential relationship with the issuing company.
 - C)** is derived by the financial analyst from direct communication with an issuing company's management.
-

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Question ID: 1586451

Greg Allen is a security analyst and visits David Dawson, the Chief Financial Officer of Edmonds Company. Dawson reveals a great deal of nonmaterial financial data to Allen, data that Dawson routinely reveals to all security analysts who visit him. From this data and other industry information, Allen conjectures that Edmonds is likely to make a tender offer for another company in the industry, a fact that if true would be considered material to the value of the company. Allen:

- A)** can publish his conclusion in a research report.
 - B)** should send a copy of the report to Dawson for verification before disseminating the report to clients.
 - C)** must not disseminate the information or use it for trading purposes until the tender offer is announced.
-

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Question ID: 1586463

An analyst is allowed to trade on information that he has predicted, such as a corporate action or event, using perceptive assembly and analysis of public information and nonmaterial nonpublic information. This is called the:

- A)** deduction theory.
- B)** mosaic theory.
- C)** assessment theory.

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Question ID: 1586484

Mark Williamson is "bearish" on ABC Manufacturing Company. Williamson is so convinced that ABC is overpriced, two weeks ago, he shorted 100,000 shares. Today, Williamson is "surfing" several popular investment bulletin boards on the internet and posting false derogatory comments about company management. According to Standard II(B), Market Manipulation, Williamson has engaged in:

- A)** transaction-based manipulation, but not information-based manipulation.
 - B)** both transaction-based manipulation and information-based manipulation.
 - C)** information-based manipulation, but not transaction-based manipulation.
-

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Question ID: 1586465

An analyst manages the assets of a charitable organization. Her supervisor tells her to buy a certain stock because the company's chief executive, who is also a board member in the organization, told her the company's earnings will exceed the market forecast when they are released next week. The analyst objects, but the supervisor says this is what they have always done and sees no reason for changing now. The analyst complies with the request. The analyst violated the Standard(s) concerning:

- A)** only loyalty.
 - B)** only material nonpublic information.
 - C)** both loyalty and material nonpublic information.
-

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Question ID: 1586483

Steve Waters, a Level I CFA candidate, has decided to enter into a long position of Farmco stock. Since Farmco is thinly traded, Waters is concerned the order will overwhelm the liquidity of Farmco and the price will surge. Waters engages in a series of block trades in order to accomplish the purchase. According to Standard II(B), Market Manipulation, Waters has engaged in:

- A)** neither transaction-based manipulation nor information-based manipulation.

- B)** both transaction-based manipulation and information-based manipulation.
 - C)** transaction-based manipulation, but not information-based manipulation.
-

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Question ID: 1586456

Susan Nielsen, CFA, works for a rating agency which competes directly with S&P and Moody's. Her friend, Lance Parker, works for the same company but in a different department which is involved in advisory services for structured products. Nielsen frequently receives pressure from Parker to "put a positive face" on client ratings to help him sell advisory services. She is reluctant to discuss client ratings with Parker and tries to avoid the topic. She consults her company's compliance department and learns that there are no policies or procedures to discourage Nielsen and Parker from sharing information and is encouraged to consider his advice on company ratings. Nielsen should feel *least* obligated to:

- A)** advise regulators of the potential conflict of interest and seek legal counsel.
 - B)** advise her firm to develop firewalls.
 - C)** avoid talking with Parker about client ratings.
-

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Question ID: 1586479

While visiting the CSI Company, Mark Ramsey, CFA, overheard management make comments that were not public information, but were not really meaningful by themselves. However, when this information is combined with his own analysis and other outside sources, Ramsey decides to change his recommendation on CSI from buy to sell. According to CFA Institute Standards of Professional Conduct, Ramsey should:

- A)** not issue his report until these comments are made public.
 - B)** report these events to his immediate supervisor and legal counsel, since they have become material in combination with his analysis.
 - C)** issue his sell report because the facts are nonmaterial, but maintain a file of the facts and documents leading to this conclusion.
-

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Question ID: 1586453

In the course of reviewing the Corn Co., an analyst has received comments from management that, while not meaningful by themselves, when pieced together with data he has accumulated from outside sources, lead him to recommend placing Corn Co. on his firm's sell list. What should the analyst do?

- A)** Not issue the report until the comments are publicly announced.
 - B)** Show his report to his own manager and counsel for their review since this information has become material once it was combined with his analysis.
 - C)** The comments are non material and the report can be issued as long as he maintains a file of the facts as supplied by management.
-

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Question ID: 1586450

Dick Charles is a security analyst with a large brokerage company. Sean Donaldson is a money manager. They both listen in on a conference call for security analysts with the president of Stoppard, Inc., who states that in two days the company will be holding a press conference announcing a new product. Both Charles and Donaldson feel the news will increase the value of Stoppard.

- Charles must wait until after the press conference to disseminate the information to
- A)** clients, and Donaldson must wait until after the press conference to purchase the stock for his clients.
 - B)** Charles must wait until after the press conference to disseminate the information to clients, but Donaldson can purchase the stock for his clients immediately.
 - C)** Charles can disseminate the information to clients, and Donaldson can purchase the stock for his clients immediately.
-

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Question ID: 1586457

Andrea Waters is an investment analyst who has accumulated and analyzed several pieces of nonpublic information through her contacts with drug firms. Although no one piece of the information she collected is "material," Waters correctly concluded that the earnings of one of the drug companies would be unexpectedly high in the coming year. According to CFA Institute Standards of Professional Conduct, Waters:

- A)** can use the information to make investment recommendations and decisions.
 - B)** may use the information, but only after approval from a compliance officer or supervisor.
 - C)** cannot legally invest or make recommendations based on this information.
-

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Question ID: 1586481

Lee Roth, who is an investment advisor, is riding in a taxi and finds a file of information labeled "Genco Valuation." The folder contains a great deal of financial data, projections and nonpublic information concerning the food products industry that lead Roth to believe that Genco will be worth 50% more than its current stock value. Roth also finds some correspondence that leads him to believe that the file belonged to Tom Hagan. Roth tries to find out where Hagan works so he can return the file. Roth can recommend Genco to his clients unless Hagan works for:

- A)** the equity research department for a brokerage firm.
 - B)** the corporate finance department for Genco.
 - C)** Roth cannot recommend Genco to his clients at this time.
-

Christopher Lance, CFA, Chuck Cunningham, and Lucy Hunt, CFA, went to graduate school together and have remained close friends ever since. Lance and Hunt earned their CFA charters this past June and Cunningham is a Level III candidate. Lance, Cunningham, and Hunt have dinner every month at Cunningham's country club, one of the most prestigious in the metropolitan area where they live.

Lance was a well-respected research analyst covering the pharmaceutical industry at an international broker-dealer before accepting a job as Vice President, Investor Relations, at IMed, a large multinational pharmaceutical company that he covered as an analyst. Since he started coverage of IMed, Lance had consistently been named "top analyst" of the pharmaceutical industry by *Investment Professional*, the leading journal of the investment industry.

In his new position at IMed, Lance is the principal spokesperson on the company's financial performance and is responsible for developing and maintaining good relationships with the company's shareholders, especially large institutional investors, and with approximately 30 research analysts who issue research reports and make recommendations about publicly-traded equity and debt securities. It is April 12th and Lance is preparing to conduct the next conference call following the release on April 15th of IMed's quarterly earnings. Participating in the call will be Lance's former colleague and good friend, Cunningham, and the other analysts who cover IMed. In addition, Hunt, a portfolio manager at Primary Pensions, a major institutional investor, has told Lance she will also be on the call. Primary Pensions has accumulated the largest single holding in IMed equity.

Lance is concerned about this call because IMed's president, Bill Norton, has just told the management team that sales of Mediplex, its new cancer drug, have begun to sag after rumors of serious side effects, including death, have hit the press. Norton told Lance that if sales continue to fall that this year's earnings would be considerably less than the current consensus forecast. Norton is also concerned that the regulatory agency that approves the sale of drugs will repeal IMed's license to market Mediplex.

Cunningham is a research analyst at Lance's former employer and has taken over coverage of IMed following Lance's resignation. Until his promotion to Lance's former position, Cunningham was a junior analyst covering the oil and gas industry. Although knowledgeable about fundamental financial analysis and equity valuation, he is unfamiliar with IMed and the pharmaceutical industry. Cunningham has been reviewing the past 5 years of IMed's financial statements and Lance's research reports in preparation for participating in IMed's quarterly conference call to discuss its quarterly earnings release. Cunningham is under considerable pressure from his employer to meet or exceed Lance's reputation and be rated "top analyst" by *Investment Professional*. His firm's currently rates IMed as a "strong buy" based on Lance's last research report. Based on his own preliminary analysis, Cunningham has a hard time justifying a "hold" recommendation. He is puzzled by several of the earnings adjustments that Lance made to achieve his target share price for IMed. He plans to ask Lance about these adjustments at their dinner on April 14th.

Hunt has been managing a large cap equity portfolio at Primary Pensions for 5 years. Based almost exclusively on Lance's buy recommendations in his research report, she began purchasing IMed several years ago just before it made several major acquisitions that contributed to its phenomenal growth and to her portfolio's performance over the last 5 years. Since Lance moved to IMed, Hunt has been doing some due diligence and has become concerned that the growth of IMed's earnings is overly dependent on sales of Mediplex. Based on her enthusiasm for IMed and her portfolio's performance, other managers at Primary Pensions have also taken considerable positions in IMed to the extent that Primary Pensions is IMed's largest single stockholder. If she is right, Hunt knows that

she will need to reduce her portfolio's holdings. Since Primary Pensions prohibits its employees from owning individual equity securities, Hunt has no personal investment in IMed. However, she had boasted about IMed's performance to her mother and is aware that her mother's investment club invested 10 percent of the club's assets in IMed. Hunt is preparing her questions for the upcoming conference call and her exit strategy if the answers confirm her fears.

Lance, Cunningham, and Hunt met for their regular monthly dinner on April 14th. Cunningham opens the after dinner discussion by questioning Lance about his new job and asks him if he and Hunt should anticipate any surprises at tomorrow's conference call. Cunningham specifically asks Lance if IMed will meet or beat analyst expectations and the consensus earnings forecast. Lance responds that, under current securities laws, he is unable to discuss details of IMed's performance with Cunningham and Hunt and that they'll both be briefed with the other analysts and shareholders on tomorrow's call. Shortly thereafter, the three friends say their good-byes. Hunt and Cunningham wish Lance well on the next day's conference call.

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Question ID: 1586446

What Standard governs Lance's response to Cunningham's question and is he in compliance?

	<u>Standard</u>	<u>Compliance</u>
	VII:	
	Responsibilities	
	as a CFA	
A)	Institute	Yes
	Member or	
	CFA Candidate	
	I:	
B)	Professionalism	Yes
	III: Duties to	
C)	Clients	No

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Question ID: 1586447

If Lance had disclosed material that was nonpublic information about the decline of sales of Mediplex and its effect on IMed's earnings, Cunningham would have been *least likely* to be obligated to do which of the following?

- A)** Make reasonable efforts to achieve public dissemination of material nonpublic information disclosed in a breach of duty.
 - B)** Inform the appropriate regulatory authority that Lance had violated securities laws.
 - C)** Not trade in shares of IMed.
-

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Question ID: 1586448

Dinners with Lance, Cunningham and Hunt at Cunningham's exclusive country club usually cost more than \$200 per person. When he and Lance worked for the same broker-dealer and Hunt was a client, Cunningham has always paid the bill.

Which Standard will Lance violate if he continues to allow Cunningham to pay for dinner?

- A)** Standard I(B), Independence and Objectivity.
 - B)** Standard IV(B), Additional Compensation Arrangements.
 - C)** Standard III(B), Fair Dealing.
-

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Question ID: 1586449

Lance is very nervous before the conference call. Norton, IMed's president, has told him that he must not disclose the decline in sales of Mediplex.

During the call, Hunt asks Lance whether the rumors of the side effects of Mediplex are true and whether these rumors have negatively impacted sales. Lance assures Hunt that Mediplex sales are strong and that IMed is confident that sales will continue to rise for the remainder of the year.

Which of the following *best* describes Lance's actions when he stated that sales of Mediplex were strong?

- A)** Lance complied with Standard IV(A), Loyalty to Employer.
- B)** Lance violated Standard I(D), Misconduct.
- C)** Lance violated Standard III(B), Fair Dealing.

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Question ID: 1586482

Lynne Jennings is a chemical industry research analyst for a large brokerage company. That industry is currently seeing an increase in mergers and acquisitions. While flying through Chicago, Jennings sees several senior officers who she knows are from the largest and fourth largest chemical companies walk into a conference room. She concludes that negotiations for an acquisition might be taking place. Jennings:

- A) may use this information to support an investment recommendation.
 - B) should inform her compliance officer that she has material nonpublic information on firms she covers.
 - C) may not act or cause others to act on this information.
-

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Question ID: 1586480

Paul Clark, CFA, has just learned from a financial analyst at Corvac Industries that orders for their core products are running ahead of last year's orders by 15%, information that has not been publicly disclosed by the company. Clark currently has a hold rating on Corvac based on his expectation of a 5% increase in revenues for the current year. Based on Standard II(A) Material Non-public Information, Clark's *most appropriate* course of action is to:

- A) encourage Corvac to publicly release the order information and not act on that information until it is publicly disclosed.
 - B) disclose the information publicly prior to making any changes in his recommendation.
 - C) put Corvac on his firm's restricted list and not make a recommendation until the increase in orders is publicly disclosed.
-

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Question ID: 1586468

A CFO who is a CFA Institute member is careful to make his press releases—some of them containing material and previously undisclosed information—clear and understandable to his readers. While writing a new release, he often has his current intern proofread rough drafts. He also sends electronic copies to his brother, an English teacher, to get suggestions concerning style and grammar. With respect to Standard II(A), Material Nonpublic Information, the CFO is:

- A)** violating the standard by either showing the pre-release version to his intern or sending it to his brother.
 - B)** only in violation by e-mailing the pre-release version to his brother but not the intern, because the intern is in essence an employee of the firm.
 - C)** not in violation of the Standard.
-

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Question ID: 1586477

Regarding non-public information, which one of the following statements is NOT correct?

- A)** A member can be summarily suspended for having received material non-public information.
 - B)** An analyst may use some types of non-public information.
 - C)** Disclosing material non-public information would have an impact on the price of a security or be of interest to a reasonable investor.
-

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Question ID: 1586478

A brokerage firm has a trading department and an investment-banking department. Often the investment-banking department receives material non-public information that would be valuable in advising the firm's brokerage clients. In order to comply with the Standards, the firm:

- A)** should restrict employee trading in securities for which the firm is in possession of material non-public information.
- B)** should record the exchange of information between the investment-banking department and the brokerage department.
- C)** must divest one of the departments.

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Question ID: 1586459

Which one of the following *least* accurately describes the CFA Institute Standard about using material nonpublic information?

- A)** An analyst may violate this Standard by passing information to others even when it has been obtained from outside the company.
 - B)** An analyst may use nonmaterial nonpublic information as long as it has been developed under the Mosaic Theory.
 - C)** An analyst using material nonpublic information may be fined by CFA Institute.
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Question ID: 1586464

A stockbroker who is a member of CFA Institute has a part-time housekeeper who also works for the CEO of Festival, Inc. One day the housekeeper mentions to the broker that she saw the CEO of Festival having a conversation at his home with John Tater, who is a nationally known corporate lawyer and consultant. The stockbroker is restricted from trading on this information:

- A)** for both of the reasons listed here.
- B)** if the housekeeper says the meeting concerned a tender offer and the broker knows that it is non-public information.
- C)** only if the broker knows that the meeting is non-public information.